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Adobe Inc. | North America

Undergoing Multiple Transitions at Once Creates Heightened Execution Risk; Downgrade to Underweight

WHAT'S CHANGED

Adobe Inc. (ADBE.O)	From	To
Rating	Equal-weight	Underweight
Price Target	\$365.00	\$240.00

Adobe's concurrent freemium, leadership, and reinvestment transitions compound execution risk as GenAI disruption debate increasingly clouds the path to ARR reacceleration. At ~12X GAAP earnings, ample risk is likely priced in, but cleaner growth and AI monetization elsewhere support a relative UW.

Key Takeaways

- Three concurrent transitions (freemium GTM, CEO/CFO transition, AI reinvestment) raise execution risk & further obscure path to ARR stabilization / acceleration
- Best-in-class margins may be near peak as AI & low-ARPU engagement require more spend, leaving limited room for further operating leverage vs SaaS peers
- Valuation at ~12x GAAP EPS likely prices in much risk, though limited visibility in timing / magnitude of a potential turnaround likely leave shares range-bound
- With durable ARR re-acceleration needed to assuage concerns on GenAI disruption risk in Creative Cloud, see shares as a relative UW near-term; reduce PT to \$240

With this note, Adam Wood is assuming lead coverage of Adobe (ADBE) at Underweight rating and \$240 PT.

Convergence of Transitions Lowers Visibility Into the Turnaround. Since moving to EW last fall (See [Adobe Inc.: Haunted by What We Don't Know; Downgrade to Equal-weight](#)), our thesis on Adobe was not that the company lacked urgency or innovation, but that the translation of that innovation into durable ARR acceleration had become increasingly difficult to underwrite as pools of Creative Cloud ARR became more exposed to GenAI substitution risk (and the relative difficulty in sizing this exposure across the base with any conviction). At the time, we highlighted that GenAI monetization was lagging initial expectations as Adobe largely prioritized ubiquity and adoption of products ahead of direct monetization. As such, divergence between ARR growth directionality and the pace of product innovation, rising usage,

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Adobe Inc. (ADBE.O, ADBE US)				
Software United States of America				
Stock Rating	Underweight			
Industry View	Attractive			
Price target	\$240.00			
Shr price, close (Jul 20, 2026)	\$234.74			
Mkt cap, curr (mm)	\$96,478			
52-Week Range	\$376.16-190.12			
Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (\$)**	20.94	24.40	27.23	29.64
Prior EPS (\$)**	-	23.46	26.37	29.86
P/E	20.1	12.2	10.9	10.2
EPS (\$)§	20.84	24.31	27.39	30.67
Div yld (%)	0.0	0.0	0.0	0.0

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework
** = Based on consensus methodology
§ = Consensus data is provided by Refinitiv Estimates
e = Morgan Stanley Research estimates

QUARTERLY EPS (\$)					
Quarter	2025	2026e Prior	2026e Current	2027e Prior	2027e Current
Q1	5.08	-	6.05a	6.73	6.94
Q2	5.06	5.85	5.97	6.41	6.59
Q3	5.31	5.70	6.06	6.56	6.69
Q4	5.50	5.85	6.32	6.66	7.00

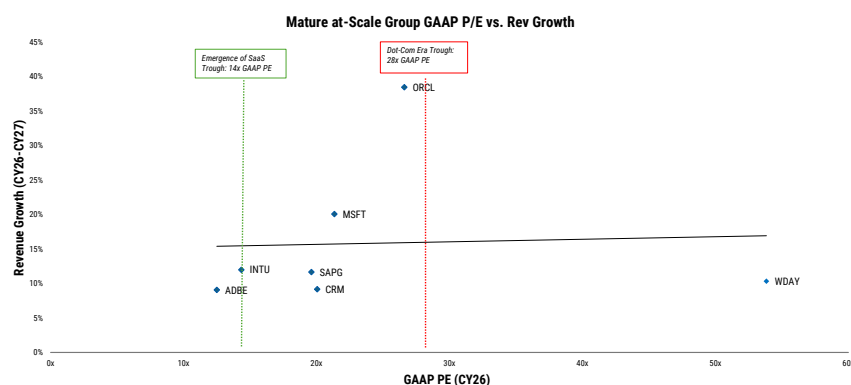
e = Morgan Stanley Research estimates, a = Actual Company reported data

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and pricing benefit traversing the portfolio left investors questioning the path to reacceleration. **Since then, three incremental transitions have become more apparent to us (and the market broadly) that further complicate that path – a more explicit freemium route-to-market pivot, a simultaneous CEO/CFO leadership transition, and an operating model shift from margin harvesting toward AI reinvestment.** While each transition may be manageable in isolation, their convergence raises the bar for execution at a time when other areas of Software offer cleaner evidence of growth durability, operating leverage, and / or near-term AI monetization. In addition, in our assessment of our broader coverage 'Moat and Journey' scores as it relates to AI readiness, Adobe screens relatively weaker across SaaS (described in detail below). **Net, while we acknowledge that shares trading at ~12x CY27 GAAP P/E price in much of this disruption risk, Adobe's simultaneous transitions reduce visibility – and therefore our conviction – in the timing and magnitude of a potential turnaround.** We expect this uncertainty and execution risk to remain an overhang on investor willingness to engage with shares, keeping the multiple depressed and range-bound, supporting our relative UW view ([Exhibit 1](#)).

Exhibit 1: ADBE Shares Trade at the Low End of the Mature at Scale Software Peer Group

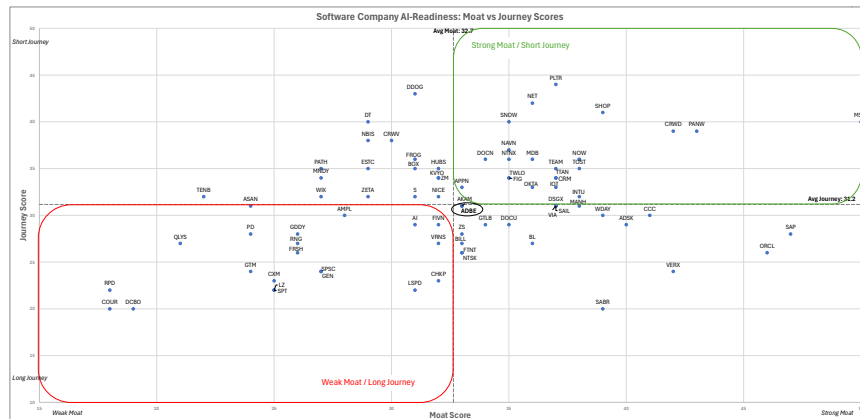


Source: Company Data, Morgan Stanley Research

Moat and Journey Framework. In our [Sector Insight today](#), we evaluated our software coverage universe through the lens of the opportunity and threat from AI. We looked at companies across two dimensions: **the Moat** a company has against AI-native entrants and increasingly easier code creation, and **the Journey** a company must take as it adapts to the pricing model, development cycle, and interaction method that will define the next phase of software. Adobe screens in the middle of the pack overall (3rd quintile, with a 64/100 overall score) with a Moat score of 33/50 set against a Journey score of 31/50 ([Exhibit 2](#)). On Moat, we see Adobe's risk less in brand, distribution, or domain expertise, where its installed base, creative professional standardization, and decades of workflow-specific product depth remain meaningful advantages. Rather, risks concentrate in lower workflow criticality and weaker system-of-record characteristics relative to other software franchises – Adobe remains deeply embedded in creative workflows, but portions of the workflow are task-based, promptable, and increasingly exposed to AI-native substitution, particularly where users are not anchored in enterprise approvals, compliance, or broader content supply-chain orchestration. On Journey, we see

Adobe's strengths most squarely in its scale, strong profitability, balance-sheet capacity, and thus, its ability to reinvest aggressively in both organic and inorganic innovation. However, this investment intensity has not yet translated into a visible growth inflection, leaving investors to underwrite AI as both an opportunity and a disruption risk in Creative. Thus, we could get more constructive on Adobe's Journey with evidence that rising AI usage and freemium traffic are sustainably converting into paid ARR, ultimately driving sustained and / or accelerating ARR growth towards the low teens.

Exhibit 2: Adobe Positioned at the Middle of the Pack on Both Moat and Journey



Source: Morgan Stanley Research

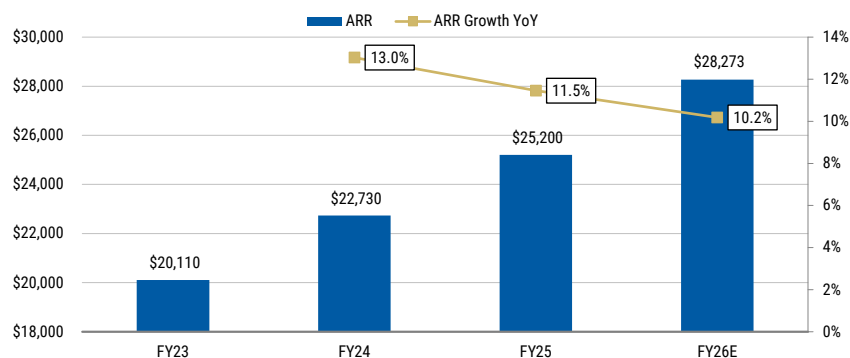
Along with Adobe's relative position in our Moat & Journey framework analysis, we downgrade to UW on the culmination of three impending transitions creating heightened execution risk:

1. Freemium Acquisition and Monetization Transition Stifles ARR Visibility. At

Adobe's [2Q print](#), the company effectively lowered organic ARR growth (by ~\$500M) as full year ARR growth guidance (+10.2% YoY, reflecting a trend of continued deceleration from ~11.5% in FY25, [Exhibit 3](#)) was maintained despite the closure of the Semrush acquisition. This outlook reflects the strategic choice to accelerate freemium MAU growth and defer previously planned Creative Cloud pricing action, with management framing the ARR impact as split roughly evenly between those two drivers. Management commentary suggested the freemium pivot is in response to AI pulling demand away from traditional branded purchase journeys and toward intent-based creative tasks. While this dynamic does appear to be showing up in traffic patterns (Business Professional & Consumer traffic on Adobe.com was up 35% YoY as of 2Q, and creative freemium MAUs increased from 50M to 90M YoY), management is increasingly routing that demand into Acrobat, Express, and Firefly experiences rather than direct-to-paid funnels. Accordingly, we see a near-term Creative growth inflection incrementally more difficult to underwrite. While freemium can be the correct long-term strategy (especially if the alternative is pushing high-intent traffic into a paid flow too early and losing the user), monetization is unlikely to be linear. Adobe now has to scale and optimize its existing conversion infrastructure – including paywall timing, credit consumption and upsell journeys – across a much larger creative freemium audience without undermining engagement, and that process can take time. As such, we could see ARR growth continuing to decelerate into FY27 absent a more aggressive than

historical Creative Cloud pricing effort next year, which we view as unlikely to materialize given the moving pieces around freemium execution.

Exhibit 3: Total ARR Growth Continues To Decelerate

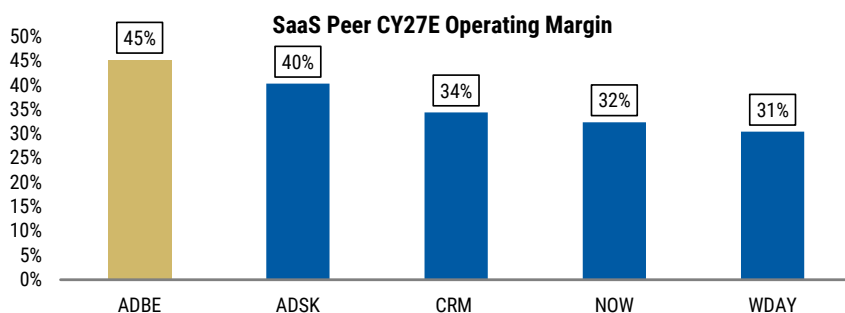


Source: Company Data, Morgan Stanley Research

2. 'Margin Transition' as Adobe Reinvests in Organic Innovation + Leans into Strategic M&A.

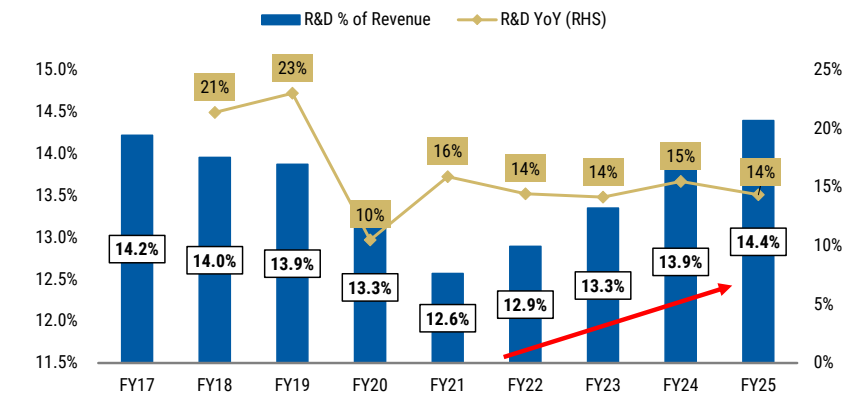
With best in class margins across SaaS ([Exhibit 4](#)), Adobe has meaningful room to invest in order to participate in this innovation cycle. However, even after stepping up investments through FY25, particularly as it relates to R&D ([Exhibit 5](#)), Adobe still ranks atop our efficiency analysis ([Exhibit 6](#) & [Exhibit 7](#)), suggesting that the company may be approaching peak efficiency, presenting less leverage opportunity on a go forward basis. Thus, we could actually see some downside bias to margins in the near term as: 1) the freemium shift effectively pulls more engagement (investment) into low ARPU cohorts ahead of monetization (return on investment); and 2) ramping AI usage could weigh on gross margins as the company prioritizes optimizing brand and customer loyalty over near-term monetization. With operating profit per employee already optimized, margins already near peak, and management still needing to invest organically and inorganically to defend Creative, we see less opportunity for a standard efficiency cycle to drive material margin upside. To create a step-function in profitability from here, Adobe would likely need a meaningful restructuring – a difficult message to square while currently needing to execute against a strategy that depends on accelerating innovation, improving freemium conversion, and proving AI can expand rather than cannibalize the Creative base.

Exhibit 4: Adobe Boasts Best in Class Margins Amongst SaaS Peers...



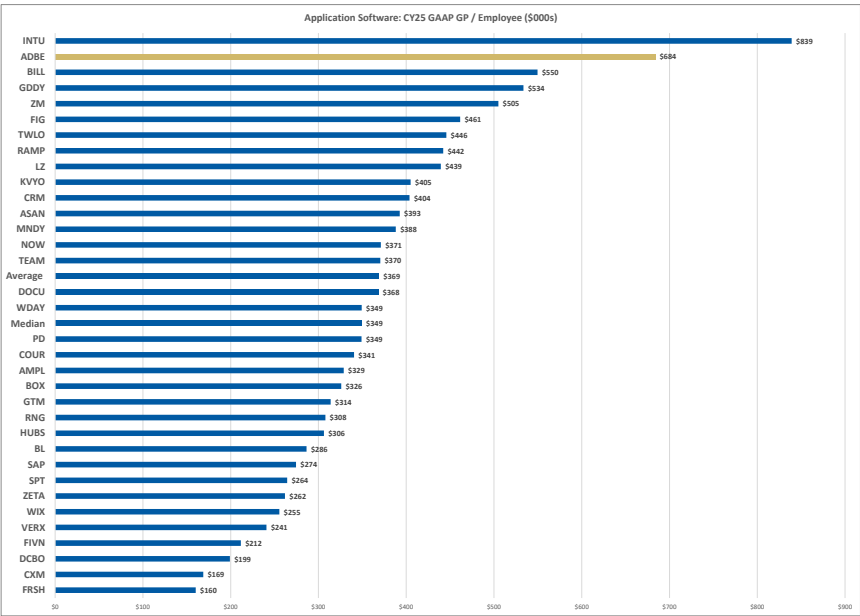
Source: Company Data, Morgan Stanley Research

Exhibit 5: ... Even After Materially Stepping Up R&D Spend as a % of Revenue

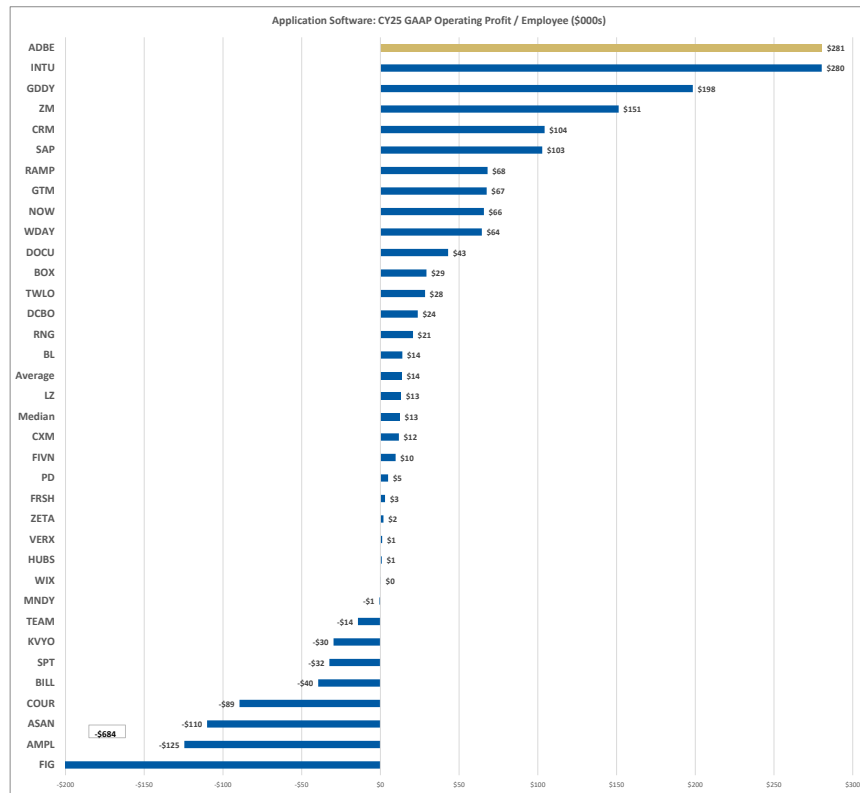


Source: Company Data, Morgan Stanley Research

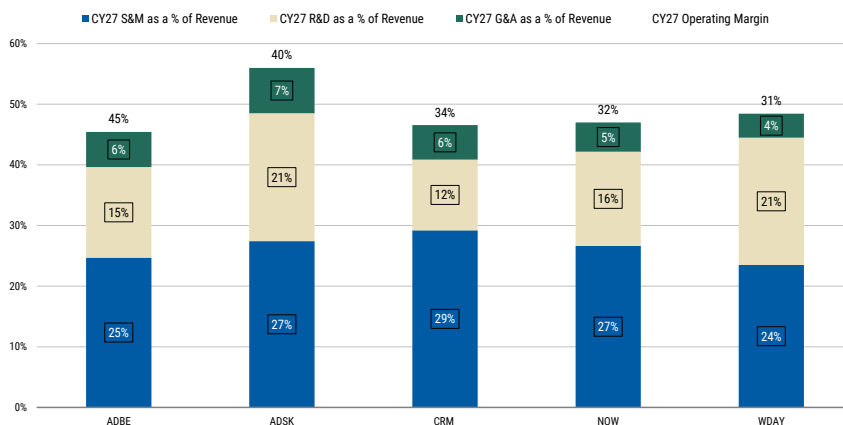
Exhibit 6: Adobe Ranks Highly on GAAP GP/Employee...



Source: Company Data, Morgan Stanley Research

Exhibit 7: ... as Well as GAAP Operating Income / Employee

Source: Company Data, Morgan Stanley Research

Exhibit 8: On a Relative Basis, Given the Need to Invest in the AI Innovation Cycle via R&D, See More Areas for Leverage & OpEx Optimization in SaaS Peers with Elevated S&M Spend (Namely CRM)

Source: Company Data, Morgan Stanley Research. Margins shown on a Non-GAAP basis

3. Timing of Leadership Transition Compounds Strategic Risk. The CEO and CFO transitions do not necessarily change our view of Adobe's product depth, but they undoubtedly raise the execution hurdle at a difficult point in the narrative. On 1Q26 earnings, long-time CEO Shantanu Narayen announced he will transition from CEO once a successor is appointed while remaining Chair, with the Board evaluating internal and external candidates. Separately, CFO Dan Durn announced his departure (to Marvell) concurrent with 2Q26 earnings, with Steve Day appointed as

interim CFO. In our view, a planned succession would be manageable in a steadier period, but this is occurring as Adobe is rewiring go-to-market around freemium, deferring Creative Cloud pricing, integrating acquisitions, and most crucially, asking investors to underwrite a delayed monetization curve as it pushes more aggressively towards a freemium model. Until the new leadership team has set priorities and the market can assess whether the freemium / AI reinvestment cycle converts into ARR acceleration, we expect 'show me' sentiment to persist.

PT to \$240. We lower our price target to \$240 (from \$365 previously) as we now apply a 9x multiple (vs. 13x previously, still a discount to Adobe's historical average) to our FY27 earnings/share estimate of ~\$27.23. This results in our \$240 price target, which implies ~0.6x PEG (discount to SaaS peers). Our price target also implies ~12x CY27 GAAP P/E, also a modest discount to SaaS peers, which we see as warranted given outsized GenAI disruption debate and heightened near-term execution concerns.

Risks to Our UW Call: 1) Faster than anticipated conversion of freemium traffic; 2) new CEO / CFO meaningfully inflecting profitability through strategic restructuring; and 3) AI proving net-expansive to the Creative franchise, with Firefly / Express adoption, AI credit monetization, and enterprise content supply-chain demand driving a durable ARR reacceleration and alleviating Creative Cloud disruption concerns.

Risk Reward – Adobe Inc. (ADBE.O)

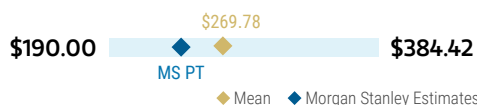
Undergoing Multiple Transitions at Once Creates Heightened Execution Risk

PRICE TARGET \$240.00

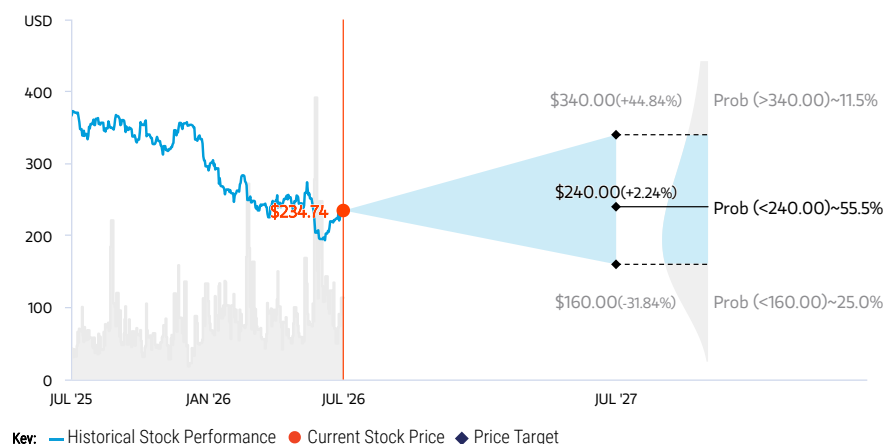
Our \$240 PT is based on a 9x Base Case 2027e EPS of \$27.23. The 9x EPS multiple in FY27e implies a ~0.6x PEG, a discount to SaaS peers and ADBE's historical average

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)

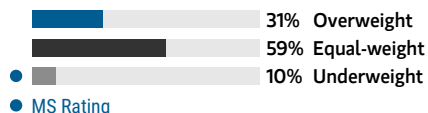


Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 20 Jul 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology [here](#)

UNDERWEIGHT THESIS

- Adobe retains a strong moat in pro creative workflows & enterprise content supply chains, supported by its brand, distribution & workflow-specific product depth. However, consumers, business users & simpler marketers remain vulnerable to AI-native substitution
- Convergence of freemium, leadership & reinvestment transitions raise execution risk as deferred CC pricing, uncertain freemium conversion & simultaneous CEO/CFO transitions reduce visibility into ARR growth re-accel
- Best-in-class margins provide capacity to defend franchise, but see limited incremental leverage optionality. ~10x GAAP P/E discounts risk, though see cleaner growth, leverage & AI monetization optpy elsewhere. Relative UW

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Disruption: *Negative*
Pricing Power: *Negative*
Technology Diffusion: *Positive*

View descriptions of Risk Rewards Themes [here](#)

BULL CASE \$340.00

12x Bull Case 2027e EPS of \$28.20

Effective conversion of freemium traffic expands the user base and pushes pricing higher, supporting a total revenue CAGR of 12%. Operating margin of ~45% results in FY27 EPS of \$28.20. ADBE trades at 12x EPS, largely inline with mature scaled Software peers, supported by a mid-teens% EPS CAGR, yielding \$340/share.

BASE CASE \$240.00

9x Base Case 2027e EPS of \$27.23

Total revenue grows at 10% CAGR from FY24-FY27. Operating margin of 44.7% results in FY27 EPS of \$27.23 and a FY24-FY27 EPS CAGR of 14%. At a 9x EPS multiple in FY27e, yielding \$240/share, ADBE trades at ~0.6x PEG, a discount to its historical average.

BEAR CASE \$160.00

6x Bear Case 2027e EPS of \$26.32

Competition from AI-natives limits ability to effectively convert freemium traffic to paid ARR, driving further growth deceleration. Margins remain ~45% in FY27 as growth investments moderate, resulting in FY27e EPS of \$26.32. The stock trades at 6x FY27e EPS, which yields \$160/share.

Risk Reward – Adobe Inc. (ADBE.O)

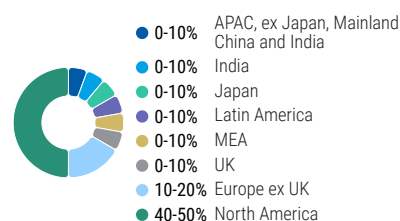
KEY EARNINGS INPUTS

Drivers	Dec 2025	Dec 2026e	Dec 2027e	Dec 2028e
Net New Digital Media ARR YoY (%)	11.5	10.3	9.6	0.0
EPS YoY (%)	13.6	16.5	11.6	8.9
Digital Experience Revenue YoY (%)	9.0	9.6	10.1	10.1
Total Revenue YoY (%)	10.5	11.7	9.1	8.7
Operating Margin (%)	46.2	45.0	44.7	44.5

INVESTMENT DRIVERS

- Increased customer lifetime value and TAM expansion opportunity
- Growing the customer base through freemium offerings
- Secular data trends around first party data
- Operating leverage and share buybacks

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

1/5 BEST	24 Month Horizon	1/5 MOST	3 Month Horizon
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Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Faster than anticipated conversion of freemium traffic
- New CEO / CFO meaningfully inflecting profitability through strategic restructuring
- AI proving net-expansive to the Creative franchise

RISKS TO DOWNSIDE

- Difficulty in effectively converting freemium traffic to paid
- Faster cannibalization of the subscriber base / increased competition weighing on growth
- Lower margins from GenAI investment

OWNERSHIP POSITIONING

Inst. Owners, % Active	44.9%				
HF Sector Long/Short Ratio	2.1x				
HF Sector Net Exposure	29.5%				

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure - Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e

Sales / Revenue (\$, mm)	25,400	26,555	26,737	26,470
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EBITDA (\$, mm)	11,616	12,019	14,104	12,705
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Net income (\$, mm)	9,399	9,770	9,971	9,731
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EPS (\$)	22.24	24.40	24.99	24.31
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◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Model Changes & Financials

Exhibit 9: Model Changes

	FY23	FY24	FY25	2/26	5/26	8/26E	11/26E	FY26E	FY27E
New Creative and Marketing F	\$13,420M	\$14,750M	\$16,312M	\$4,390M	\$4,540M	\$4,620M	\$4,689M	\$18,240M	\$19,827M
YoY Change	0.0%	9.9%	10.6%	11.9%	12.9%	12.1%	10.3%	11.8%	8.7%
Old CMP	\$13,420M	\$14,750M	\$16,312M	\$4,390M	\$4,426M	\$4,450M	\$4,570M	\$17,835M	\$19,404M
YoY Change	0.0%	9.9%	10.6%	11.9%	10.1%	8.0%	7.5%	9.3%	8.8%
% Change	0%	0%	0%	0%	3%	4%	3%	2%	2%
New Consumer and Business	\$4,750M	\$5,670M	\$6,504M	\$1,780M	\$1,850M	\$1,880M	\$1,950M	\$7,460M	\$8,368M
YoY Change		19.4%	14.7%	16.0%	15.6%	13.9%	13.4%	14.7%	12.2%
Old C&BP	\$4,893M	\$5,670M	\$6,504M	\$1,780M	\$1,812M	\$1,859M	\$1,932M	\$7,383M	\$8,385M
YoY Change	10.7%	19.4%	14.7%	16.0%	13.3%	12.7%	12.3%	13.5%	13.6%
% Change	-3%	0%	0%	0%	2%	1%	1%	1%	0%
New Total Rev.	\$19,409M	\$21,505M	\$23,769M	\$6,398M	\$6,618M	\$6,695M	\$6,844M	\$26,555M	\$28,965M
YoY Change	10.2%	10.8%	10.5%	12.0%	12.7%	11.8%	10.5%	11.7%	9.1%
Old Total Rev.	\$19,409M	\$21,505M	\$23,769M	\$6,398M	\$6,461M	\$6,472M	\$6,680M	\$26,011M	\$28,560M
YoY Change	10.2%	10.8%	10.5%	12.0%	10.0%	8.1%	7.8%	9.4%	9.8%
% Change	0%	0%	0%	0%	2%	3%	2%	2%	1%
New Total ARR		\$22,730M	\$25,200M	\$26,060M	\$27,100M	\$27,482M	\$28,273M	\$28,273M	\$30,862M
Old Total ARR		\$22,730M	\$25,200M	\$26,060M	\$27,100M	\$27,570M	\$28,273M	\$28,273M	\$31,650M
% Change		0%	0%	0%	0%	0%	0%	0%	-2%
New Op. Income	\$8,918M	\$10,019M	\$10,986M	\$3,035M	\$2,945M	\$2,943M	\$3,037M	\$11,960M	\$12,953M
New Op. Margin	45.9%	46.6%	46.2%	47.4%	44.5%	44.0%	44.4%	45.0%	44.7%
Old Op. Income	\$8,918M	\$10,019M	\$10,986M	\$3,035M	\$2,878M	\$2,883M	\$2,897M	\$11,693M	\$12,949M
Old Op. Margin	45.9%	46.6%	46.2%	47.4%	44.5%	44.5%	43.4%	45.0%	45.3%
% Change	0%	0%	0%	0%	2%	2%	5%	2%	0%
New FCF	\$6,942M	\$7,873M	\$9,852M	\$2,921M	\$2,107M	\$2,323M	\$3,077M	\$10,428M	\$11,330M
New FCF Margins	35.8%	36.6%	41.4%	45.7%	31.8%	34.7%	45.0%	39.3%	39.1%
YoY Change	-6.1%	13.4%	25.1%	18.9%	-1.7%	9.3%	-1.6%	5.9%	8.6%
Old FCF	\$6,942M	\$7,873M	\$9,852M	\$2,921M	\$1,679M	\$2,285M	\$3,227M	\$10,112M	\$11,420M
Old FCF Margins	35.8%	36.6%	41.4%	45.7%	26.0%	35.3%	48.3%	38.9%	40.0%
New EPS	\$16.06	\$18.43	\$20.94	\$6.05	\$5.97	\$6.06	\$6.32	\$24.40	\$27.23
YoY Change	17.1%	14.7%	13.6%	19.2%	18.0%	14.1%	14.9%	16.5%	11.6%
Old EPS	\$16.06	\$18.43	\$20.94	\$6.05	\$5.85	\$5.70	\$5.85	\$23.46	\$26.37
YoY Change	17.1%	14.7%	13.6%	19.2%	15.7%	7.4%	6.3%	12.1%	12.4%
% Change	0%	0%	0%	0%	2%	6%	8%	4%	3%

Source: Company Data, Morgan Stanley Research

Exhibit 10: Income Statement

(\$ Millions, Except Per-Share Data)	FY21	FY22	FY23	FY24	FY25	2/26	5/26	8/26E	11/26E	FY26E	2/27	5/27E	8/27E	11/27E	FY27E	FY28E
Total Revenue	15,765	17,006	18,409	21,505	23,769	6,398	6,618	6,695	6,844	26,555	6,987	7,176	7,285	7,917	28,965	31,496
% YoY Growth	22.7%	11.5%	10.2%	10.8%	10.5%	12.0%	12.7%	11.8%	10.5%	11.7%	9.2%	8.4%	8.8%	9.8%	9.1%	8.7%
% QoQ Growth	-	-	-	-	-	3%	3%	1%	2%	-	2%	3%	2%	3%	-	-
Cost of Revenue	1,615	1,838	1,989	2,116	2,278	630	669	625	666	2,590	674	771	705	755	2,905	3,172
Total Cost of Revenue	14,170	15,768	17,420	19,389	21,491	5768	5949	6070	6178	23,965	6313	6405	6581	6761	26,060	28,324
Gross Income	89.8%	89.6%	89.8%	90.2%	90.4%	90.2%	89.9%	90.7%	90.3%	90.2%	90.4%	89.3%	90.3%	90.0%	90.0%	89.9%
Gross Margin																
Operating Expenses	1,984	2,270	2,591	2,952	3,421	812	923	982	989	3,705	901	1,008	1,098	1,086	4,063	4,480
Research & Development	4,008	4,527	4,851	5,213	5,744	1,325	1,677	1,728	1,732	6,862	1,663	1,816	1,979	1,900	7,258	7,802
Sales & Marketing	919	996	1,060	1,165	1,340	398	404	417	420	1,637	432	438	454	462	1,786	1,842
General & Administrative	1457	1847	2207	3241	2278	617	707	750	726	2800	742	790	840	812	3185	3572
Other Expenses																
Total Operating Expenses	6,911	7,823	8,502	9,370	10,505	2,733	3,004	3,127	3,141	12,005	2,996	3,262	3,400	3,448	13,107	14,314
% YoY Growth	17.5%	13.2%	8.7%	10.2%	12.1%	11.6%	14.0%	18.1%	13.2%	14.3%	9.6%	8.6%	8.7%	9.8%	9.2%	9.2%
Operating Income	7,259	7,945	8,918	10,019	10,986	3,035	2,945	2,943	3,037	11,860	3,317	3,142	3,180	3,313	12,953	14,010
% Margin	46.0%	45.1%	45.9%	46.6%	46.2%	47.4%	44.5%	44.0%	44.4%	45.0%	47.5%	43.8%	43.7%	44.1%	44.7%	44.5%
% YoY Growth	31.5%	9.8%	12.2%	12.3%	8.7%	11.8%	10.1%	6.1%	7.5%	8.6%	9.3%	8.7%	8.1%	8.1%	8.3%	8.2%
Incremental Revenue	2917	1621	1803	2006	2054	204	220	77	148	2780	143	189	109	232	2410	2531
Incremental OpEx	1027	912	679	868	1135	-42	271	123	14	1500	-145	266	138	48	1102	1207
Incremental Operating Margin	64.8%	49.9%	62.3%	58.6%	49.9%	120.6%	-23.2%	-99.4%	90.3%	46.1%	201.1%	-60.9%	-26.6%	79.4%	54.3%	52.3%
EBITDA	7,355	8,041	9,017	10,070	11,035	3,050	2,960	2,958	3,052	12,010	3,335	3,160	3,198	3,331	13,024	14,087
EBITDA Margin	46.6%	45.7%	46.5%	46.8%	46.4%	47.7%	44.7%	44.2%	44.6%	45.3%	47.7%	44.0%	43.9%	44.3%	45.0%	44.7%
Other Income	-113	-71	132	142	-15	-1	-18	-13	-12	-45	-11	-7	-3	2	-19	56
Income Before Taxes	7,146	7,874	9,051	10,161	10,971	3,034	2,927	2,929	3,024	11,915	3,306	3,135	3,177	3,315	12,934	14,065
Income Tax Expense	1,143	1,417	1,674	1,880	2,030	540	527	527	544	2,145	595	564	572	597	2,329	2,532
Tax Rate	16.0%	18.0%	18.5%	18.5%	18.5%	18.0%	18.0%	18.0%	18.0%	18.0%	18.0%	18.0%	18.0%	18.0%	18.0%	18.0%
Net Income	6,003	6,457	7,377	8,281	8,941	2,488	2,400	2,402	2,480	9,770	2,711	2,571	2,605	2,718	10,605	11,534
EPS (Diluted) - Operating	12.47	13.72	16.86	18.43	20.94	4.05	4.97	4.96	4.32	24.40	4.94	4.59	4.69	7.06	27.23	29.64
% YoY Growth	24%	10%	17%	15%	14%	19%	18%	14%	15%	17%	15%	10%	10%	11%	12%	9%
Stock option expense, net of tax	930	1,165	1,074	1,533	1,607	422	456	491	472	1,840	485	524	565	542	2,116	2,434
Adjusted Net Income	5,073	5,292	6,303	6,748	7,334	2,066	1,944	1,911	2,008	7,930	2,226	2,047	2,040	2,176	8,489	9,100
Adjusted EPS (incl. Stock comp)	10.94	11.24	13.72	15.62	17.18	3.03	4.84	4.82	5.12	19.80	3.70	3.25	3.24	3.60	21.79	23.39
% YoY Growth	26%	7%	22%	9%	14%	20%	17%	12%	13%	15%	13%	9%	9%	9%	10%	7%

Source: Company Data, Morgan Stanley Research

Risk Reward Reference links

1. View explanation of Options Probabilities methodology - [Options_Probabilities_Exhibit_Link.pdf](#)
2. View descriptions of Risk Rewards Themes - [RR_Themes_Exhibit_Link.pdf](#)
3. View explanation of regional hierarchies - [GEG_Exhibit_Link.pdf](#)
4. View explanation of Theme/Exposure methodology - [ESG_Sustainable_Solutions_External_Link.pdf](#)
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(as of June 30, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1544	42%	453	49%	29%	757	44%
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Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	544	15%	89	10%	16%	204	12%
Total	3,668		933			1731	

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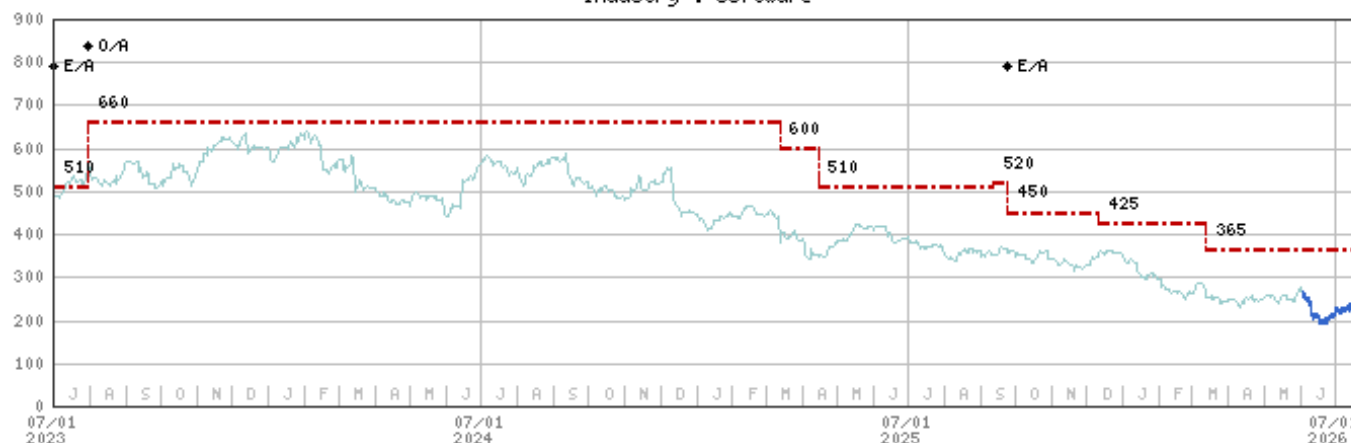
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Stock Price, Price Target and Rating History (See Rating Definitions)

Adobe Inc. (ADBE.O) - As of 07/21/26 GMT in USD
Industry : Software



Stock Rating History: 7/1/21 : O/A; 6/21/22 : E/A; 7/31/23 : O/A; 9/24/25 : E/A

Price Target History: 6/18/21 : 610; 9/15/21 : 736; 12/17/21 : 652; 3/23/22 : 591; 6/21/22 : 362; 9/15/22 : 337; 12/16/22 : 382; 3/16/23 : 385; 6/12/23 : 470; 6/16/23 : 510; 7/31/23 : 660; 3/13/25 : 600; 4/15/25 : 510; 9/12/25 : 520; 9/24/25 : 450; 12/11/25 : 425; 3/13/26 : 365

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)
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Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
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INDUSTRY COVERAGE: Software

COMPANY (TICKER)	RATING (AS OF)	PRICE* (07/20/2026)
Chris Quintero		
BILL Holdings Inc (BILL.N)	E (06/10/2025)	\$45.18
Blackline Inc (BL.O)	O (09/29/2024)	\$30.20
Descartes Systems Group Inc (DSGX.O)	O (01/15/2026)	\$73.68
Intuit (INTU.O)	O (02/26/2025)	\$293.82
Manhattan Associates Inc. (MANH.O)	E (10/21/2025)	\$165.51
Navan Inc (NAVN.O)	O (11/24/2025)	\$27.73
Samsara Inc (IOT.N)	E (03/23/2023)	\$38.55
SPS Commerce Inc (SPSC.O)	E (11/11/2025)	\$65.72
Vertex Inc. (VERX.O)	O (01/17/2024)	\$12.89
Workday Inc (WDAY.O)	E (02/19/2025)	\$147.22
Elizabeth Porter, CFA		
Adobe Inc. (ADBE.O)	U (07/21/2026)	\$234.74
Amplitude Inc. (AMPL.O)	O (01/15/2026)	\$9.83
Autodesk (ADSK.O)	O (08/23/2024)	\$217.80
Figma Inc (FIG.N)	E (08/25/2025)	\$24.02
Five9 Inc (FIVN.O)	E (10/10/2022)	\$25.70
Freshworks Inc (FRSH.O)	E (10/18/2021)	\$11.05
GoDaddy Inc (GDDY.N)	E (07/19/2021)	\$94.84
HubSpot, Inc. (HUBS.N)	O (03/21/2023)	\$231.21
Klaviyo, Inc (KVYO.N)	O (04/29/2026)	\$18.15
LegalZoom.com Inc (LZ.O)	U (07/28/2022)	\$7.70
Liveramp Holdings Inc (RAMP.N)	E (01/13/2025)	\$37.78
NICE Ltd. (NICE.O)	O (10/16/2023)	\$101.34
RingCentral Inc (RNG.N)	E (08/08/2023)	\$40.74
Salesforce, Inc. (CRM.N)	O (12/21/2023)	\$173.79
Sprinklr Inc (CXM.N)	E (07/19/2021)	\$5.95
Sprout Social Inc (SPT.O)	E (11/17/2020)	\$8.41

Twilio Inc (TWLO.N)	O (02/24/2025)	\$205.24
Wix.Com Ltd (WIX.O)	O (01/13/2025)	\$53.36
Zeta Global Holdings Corp (ZETA.N)	E (08/01/2024)	\$21.34
ZoomInfo Technologies Inc (GTM.O)	E (02/01/2024)	\$3.13
Josh Baer, CFA		
Asana Inc (ASAN.N)	U (05/20/2025)	\$7.60
Box Inc (BOX.N)	E (05/21/2024)	\$30.85
CCC Intelligent Solutions Holdings Inc (CCC.O)	O (11/13/2024)	\$6.26
Commerce.com Inc. (CMRC.O)	++	\$2.99
CoreWeave (CRWV.O)	E (04/22/2025)	\$73.06
Coursera, Inc. (COUR.N)	E (04/22/2026)	\$5.46
DigitalOcean Holdings Inc (DOCN.N)	O (01/16/2025)	\$119.09
Docebo Inc. (DCBO.O)	E (05/12/2025)	\$19.48
DocuSign Inc (DOCU.O)	E (01/16/2024)	\$52.30
Lightspeed Commerce Inc. (LSPD.N)	E (02/18/2021)	\$10.37
Microsoft (MSFT.O)	O (01/13/2016)	\$402.29
monday.com Ltd (MNDY.O)	O (08/12/2025)	\$76.75
Nebius Group NV (NBIS.O)	E (01/15/2026)	\$182.62
Sabre Corp (SABR.O)	E (03/16/2021)	\$1.72
ServiceTitan Inc (TTAN.O)	O (01/20/2026)	\$79.46
Shopify Inc (SHOP.O)	O (04/19/2024)	\$124.48
Toast, Inc. (TOST.N)	O (12/16/2021)	\$30.85
Via Transportation Inc (VIA.N)	O (01/20/2026)	\$18.59
Zoom Communications (ZM.O)	E (10/11/2022)	\$90.91
Meta A Marshall		
Check Point Software Technologies Ltd. (CHKP.O)	E (10/16/2023)	\$135.73
CrowdStrike Holdings Inc (CRWD.O)	O (03/10/2026)	\$198.49
Fortinet Inc. (FTNT.O)	U (09/02/2025)	\$160.36
Gen Digital Inc. (GEN.O)	E (06/07/2024)	\$26.68
Netskope, Inc. (NTSK.O)	O (10/13/2025)	\$13.52
Okta, Inc. (OKTA.O)	O (12/02/2024)	\$148.41
Palo Alto Networks Inc (PANW.O)	O (10/10/2017)	\$348.66
Qualys Inc (QLYS.O)	U (02/09/2021)	\$156.37
Rapid7 Inc (RPD.O)	E (08/11/2015)	\$11.95
SailPoint Inc (SAIL.O)	O (09/02/2025)	\$15.22
SentinelOne, Inc. (S.N)	E (12/02/2024)	\$19.46
Tenable Holdings Inc (TENB.O)	E (12/02/2024)	\$37.76
Varonis Systems, Inc. (VRNS.O)	E (01/26/2026)	\$47.45
Zscaler Inc (ZS.O)	E (04/22/2026)	\$149.82
Sanjit K Singh		
Akamai Technologies, Inc. (AKAM.O)	O (01/12/2026)	\$123.13
Appian Corp (APPN.O)	E (04/30/2026)	\$26.03
Atlassian Corporation PLC (TEAM.O)	O (01/13/2020)	\$96.43
C3.ai (AI.N)	U (01/04/2021)	\$8.61
Cloudflare Inc (NET.N)	O (12/02/2024)	\$272.42
Datadog, Inc. (DDOG.O)	O (01/12/2026)	\$263.20
Dynatrace Inc (DT.N)	E (02/13/2024)	\$44.71
Elastic NV (ESTC.N)	O (12/16/2024)	\$62.74
GitLab Inc (GTLB.O)	E (01/12/2026)	\$34.07
JFrog Ltd. (FROG.O)	O (12/21/2023)	\$90.43
MongoDB Inc (MDB.O)	O (04/12/2023)	\$323.36
Oracle Corporation (ORCL.N)	E (01/15/2019)	\$121.38
PagerDuty, Inc. (PD.N)	E (01/24/2024)	\$10.34
Palantir Technologies Inc. (PLTR.O)	E (02/04/2025)	\$134.85
ServiceNow Inc (NOW.N)	O (09/24/2025)	\$104.70

Snowflake Inc. (SNOW.N)	O (06/24/2025)	\$274.34
UiPath Inc (PATH.N)	E (09/07/2022)	\$12.16

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